SECURITIES AND EXCHANGE BOARD OF INDIA
PRIMARY MARKET DEPARTMENT
Earnest House, 14th Floor, Nariman Point, MUMBAI-400 021.
Fax No.: 2870 746 • Tel. No. 2850441 - 50

RMB (DIP) Series Circular No. 2 (98-99) February 12, 1999

To All Registered Category-I Merchant Bankers

Dear Sirs,

Sub.: Guidelines for Disclosure and Investor Protection
Clarification No. XXIII

SEBI has issued clarifications to the Guidelines for Disclosure and Investor Protection in the recent past in order to strengthen the disclosure norms and bring out the reforms in the Primary Market.

The SEBI Board, in its meeting held on September 7, 1998, considered the report of the "Informal Group on Primary Markets" headed by Dr. Shankar Acharya. The Board welcomed most of the recommendations of the group and has decided to consider them in the overall policy framework for Primary Market. Certain specific recommendations of the group relating to popularizing the facility of book building and reducing the number of mandatory collection centres for public issues are being implemented through this clarification.

Part A of the clarification pertains to revised Book Building facility.

Part B of the clarification modifies the requirement of mandatory collection centres as provided in clarification XII dated September 25, 1995.

In view of the strategic importance of infrastructure projects, the Board has also decided to grant specific relaxations for Public Issues by infrastructure companies. These relaxations are being provided under Part C of this clarification.

The present guidelines have been issued in pursuance of Sub-Section (1) of Section 11 of the Securities and Exchange Board of India Act, 1992 for orderly development and growth of the Capital Market.

The present guidelines shall come into force from 8th day of September, 1998 and, if so desired by the issuer company, will be applicable to:

1. Offer Documents pending with SEBI, and

2. The public issues in respect of which the offer documents are not yet filed with the Registrar of Companies.

Please acknowledge receipt.

Yours faithfully,

(O.P. GAHROTRA)
SR. EXECUTIVE DIRECTOR

CLARIFICATION NO. XXIII

Part A - Book Building Facility revised –

Clause (1) of clarification XXI dated October 27, 1997 dealing with the guidelines relating to 100% Book Building, is hereby modified as under:

"The option of 100% Book Building shall be available to the body corporate which proposes to make an issue of capital to public, of Rs. 25 Crores and above."

Part B - Mandatory Collection Centres

The requirement of mandatory collection centres as provided in clarification XII dated September 25, 1995 is modified as under:

" The minimum number of collection centres for an issue of capital shall be –

i) The four metropolitan centres situated at Mumbai, Delhi, Calcutta and Chennai and

ii) All such centres where the stock exchanges are located in the region in which the registered office of the company is situated.

Notwithstanding anything contained herein above, the body corporate shall be free to appoint as many collection centres as it may deem fit in addition to the above minimum requirement."

Part C - Exemptions/ Relaxations for Infrastructure Companies

1) Relaxation of Rule 19(2)(b) of Securities Contracts (Regulation) Rules, 1957

In exercise of the powers under Rule 19(7) of Securities Contracts (Regulation) Rules, 1957, SEBI has decided to relax the requirement of Rule 19(2) (b) of the said Rules in case of the eligible infrastructure companies. Accordingly, an infrastructure company inviting subscription from public shall not be required to offer at least 25% of its securities to public for subscription.

2) Minimum Number of Shareholders

As per SEBI Circular no. SMD/RCG/JJ/1819/96 dated May 15, 1996, it is necessary for a body corporate making a public issue to have at least 5 public shareholders for every Rs.1 lacs of net capital offer made to public. However, this requirement shall not be applicable to an issue of capital made by an infrastructure company.

Further, an infrastructure company will be free to decide on the proportion of reservations/ Firm Allotments for the eligible categories mentioned in the existing guidelines.

3) Minimum Subscription

As per Section D of the main guidelines dated June 11, 1992 the minimum requirement of 90% subscription is mandatory for each issue of capital to the public. The said section shall be modified by adding after clause (a) of Section D of the main guidelines, a proviso, as follows:

"Provided that the requirement of 90% subscription for issue of capital by an infrastructure company shall not be mandatory if disclosures are made in the prospectus regarding the alternate source of funding. The lead manager shall verify and confirm the same as part of their due dilligence."

4. Free pricing of Issues

The eligible Infrastructure companies are hereby permitted to freely price their equity provided the promoters along with the equipment suppliers and other strategic investors subscribe to 50% of the equity at the same or higher price than the price at which the securities are being offered to the public.

For the purposes of these guidelines, the contribution of equipment suppliers and other strategic investors shall be treated at par with the promoters' contribution and the relevant provisions relating to lock-in of such contribution shall be applicable to the contribution made by them.

5) Eligibility Norms for Public Issues

The Guidelines relating to the eligibility norms for body corporates for making public issues as contained in Part A of Clarification XV dated April 18, 1996 as modified by Clarification XVI dated July 17, 1996 and Clarification XXII dated June 5, 1998 is hereby modified as under :

"The provisions of clauses (1) and (2) of Part A of Clarification XV dated April 18, 1996 shall not be applicable in case of an infrastructure company".

6) Time period for keeping the issue open

The Public issue made by an infrastructure company would be allowed to be kept open for a maximum period of 21 working days. The issue opening and closing dates shall be disclosed in the offer document.

7) *Discontinuance of creation of Debenture Redemption Reserve* –

The requirement of creation of a Debenture Redemption Reserve (DRR) as stipulated in clause (1) of *Section N* read with *Section F* of the main *Guidelines* shall not be applicable in case of infrastructure companies.

Eligibility

For the purposes of this part, an "Infrastructure Company" shall mean, "A company wholly engaged in the business of developing, maintaining and operating infrastructure facility provided that the project of the companies engaged in the business of developing, maintaining and operating infrastructure facility are appraised by a Development Financial Institution (DFI) or Infrastructure Development Finance Corporation (IDFC) or Infrastructure Leasing and Financing Services Ltd. (IL&FS) and whose projects also have the participation of minimum 5% of the project cost (in debt and/or equity) by the appraising institution."

Explanation

For the purpose of this clarification "infrastructure facility" means the "infrastructure facility" within the meaning of section 10(23G)(C) of Income Tax Act, 1961."